

companies when technology is booming, Chinese companies when China appears to be on an economic tear, and oil and gas stocks when inflation appears on the horizon. These investors put themselves in the worst position to find investment bargains by filtering for areas with high investor interest and large investor capital flows, and by shifting their focus instead of developing deep expertise. Because we also fall prey to this lack of discipline as hard as we try to avoid it, we think we understand the cause—the quirks of natural human behavior. It is difficult for humans to identify potential moneymaking opportunities but decide not to pursue them in the name of focusing on their areas of competitive advantage. These feelings are harder to control during market upswings, when other people appear to be making significant amounts of money without any discernible focus, discipline, special expertise, or competitive advantage.

Graham and Dodd also teach endowment investors valuable lessons in the area of risk management. Although risk management is of paramount importance to any investor, the budgetary structure of a university makes it particularly vital for us. A university's budget is composed primarily of salaries and benefits. Without other line items to focus on, budget reductions often fall on people, our greatest asset. Given this tendency, the sanctity of tenured positions, the desire to preserve a campus culture of stability and long-term thinking, and the restricted nature of funding resources (endowment funds usually have a specific legally designated purpose and cannot be shifted around to fill budgetary holes elsewhere), budget cuts are particularly painful to a university. As a result, investment policies that produce reasonably stable results, reducing the periodic need for large budget cuts, are of significant benefit to endowment-supported institutions.

An endowment's biggest risk is a large and permanent impairment of capital that hinders its ability to maintain the value of annual spending to the institution it supports, and there are numerous ways